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China Telecoms | Asia Pacific

# Rolling Out Token Plans

## Key Takeaways

- China Telecom introduced its own token plans facing both enterprise and consumers. The plans are standalone plans on a monthly subscription basis.
- It costs on average Rmb2.0-2.7 per mn tokens for enterprises and Rmb0.6-1.0 per mn tokens for consumers assuming full usage.
- China Mobile and China Unicom also had similar product offerings earlier but only at the provincial level. CT's is the first product launch on national scale.

**How it differs vs hyperscalers:** We note hyperscalers such as Alicloud also offer token plans but the package includes credits per seat per month, where different underlying models would result in different credit usages. Whereas China Telecom's plan seems to price all models at the same token price.

**Our take:** We think as mobile data penetration peaks and data prices continues to deflate, the Chinese telcos are looking for new revenue streams that can leverage their extensive data/computing infrastructures. We see it as a positive move to test a new business model in the AI era. However, in the near term, we think consumer adoption would still rely on the emergence of AI applications; meanwhile, the enterprise race would depend on the service capability, MaaS unit metrics and proprietary models.

Exhibit 1: China Telecom - Token plan monthly subscriptions.

|              | Plan pricing<br>(Rmb/m) | Token usage (mn<br>tokens) | Price per mn<br>tokens | Note                                                                      |
|--------------|-------------------------|----------------------------|------------------------|---------------------------------------------------------------------------|
| Enterprise   |                         |                            |                        |                                                                           |
| Basic        | 39.9                    | 15                         | 2.7                    | Access to most<br>mainstream models<br>including CT's model and<br>GLM5.1 |
| Professional | 159.9                   | 70                         | 2.3                    |                                                                           |
| Flagship     | 299.9                   | 150                        | 2.0                    |                                                                           |
| Consumer     |                         |                            |                        |                                                                           |
| Light        | 9.9                     | 10                         | 1.0                    | Access to ecosystem<br>model including<br>DeepSeek V3.2 and CT's<br>model |
| Enjoy        | 29.9                    | 40                         | 0.7                    |                                                                           |
| Exclusive    | 49.9                    | 80                         | 0.6                    |                                                                           |

Source: Company data, Morgan Stanley Research.

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### GREATER CHINA TELECOMS

Asia Pacific

Industry View

In-Line

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| Equal-weight/Hold     | 1568              | 43%        | 358                              | 39%            | 23%                  | 715                                               | 44%                   |
| Not-Rated/Hold        | 4                 | 0%         | 0                                | 0%             | 0%                   | 1                                                 | 0%                    |
| Underweight/Sell      | 555               | 15%        | 84                               | 9%             | 15%                  | 202                                               | 12%                   |
| Total                 | 3,673             |            | 909                              |                |                      | 1627                                              |                       |

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| COMPANY (TICKER)                                   | RATING (AS OF) | PRICE* (05/18/2026) |
|----------------------------------------------------|----------------|---------------------|
| <b>Gary Yu</b>                                     |                |                     |
| China Mobile Limited (0941.HK)                     | E (01/27/2026) | HK\$86.40           |
| China Mobile Limited (600941.SS)                   | E (07/06/2023) | Rmb100.35           |
| China Telecom (601728.SS)                          | E (07/06/2023) | Rmb6.82             |
| China Telecom (0728.HK)                            | E (01/27/2026) | HK\$5.64            |
| China Tower Corp Ltd (0788.HK)                     | O (01/21/2025) | HK\$10.94           |
| China Unicom (0762.HK)                             | E (01/27/2026) | HK\$7.94            |
| China United Network Communications (600050.SS)    | U (10/30/2016) | Rmb4.92             |
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| Beijing Sinnet Technology (300383.SZ)              | U (05/16/2022) | Rmb16.73            |
| China Communication Service Co Ltd (0552.HK)       | E (11/12/2024) | HK\$4.34            |
| Chunghwa Telecom (2412.TW)                         | E (04/29/2025) | NT\$137.00          |
| Far Eastone (4904.TW)                              | O (10/16/2024) | NT\$96.80           |
| Guangdong Aofei Data Technology Co Ltd (300738.SZ) | E (10/23/2023) | Rmb27.83            |
| HKBN Ltd (1310.HK)                                 | E (10/20/2025) | HK\$7.00            |
| HKT Trust and HKT Ltd. (6823.HK)                   | O (12/11/2020) | HK\$12.59           |
| PCCW Ltd (0008.HK)                                 | E (09/07/2023) | HK\$6.09            |
| SUNeVision Holdings Limited (1686.HK)              | O (08/03/2020) | HK\$6.58            |
| Taiwan Mobile (3045.TW)                            | E (01/27/2026) | NT\$114.00          |
| VNET Group Inc (VNET.O)                            | O (10/04/2017) | US\$10.09           |
| <b>Yang Liu</b>                                    |                |                     |
| GDS Holdings Ltd (GDS.O)                           | ++             | US\$42.44           |

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Stock Ratings are subject to change. Please see latest research for each company.

\* Historical prices are not split adjusted.

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